

motorcycles as the firm went into deep financial distress with the motorcycles division incurring losses in the year 2000. Enfield's sales had dropped to 2000 units a month against a manufacturing capacity of 6000 a month. Though the bikes had diehard fans, there were also frequent complaints of engine seizures, snapping of the accelerator or clutch cables, electrical failures and oil leaks. Many found them too heavy, difficult to maintain, with the gear lever inconveniently positioned and a daunting kick-start. It wasn't until there was an inter-generational change in management when Siddhartha Lal took charge of the motorcycle division in 2000, and of the entire firm in 2006, brought in Volvo as a JV partner in 2007, and diversified and professionalized the business that the firm began its glorious run. Over the last ten years (FY07–FY17), Eicher's profits and share price have compounded at 40 per cent and 56 per cent per annum respectively.

Whilst large companies have their share of major accounting issues (Satyam, Enron, Worldcom, Global Trust Bank—the list of prominent companies which cooked their books is long), such issues show up more often in smaller companies where a combination of fly-by-night auditors, unscrupulous promoters and weak/non-existent sell-side research coverage create greater scope for accounting skullduggery. As per Ambit Capital's proprietary forensic accounting model, the probability of a company having significant accounting issues increases as the market cap of the company decreases (see [Exhibit 55](#)).